

For instance, UPI is an account-based module. Digital tokens, on the other hand, have to be issued by a central bank to distributing banks. There is no need to verify one's identity and these tokens can change hands freely for P2P payments. "The token-based modules require ecosystem-wise adoption... This will be the eventual end goal for frictionless payments," says Mindgate's Sam.

There is an added benefit of introducing something like a CBDC. Whenever the government initiates innovation at a fundamental level, an entire ecosystem develops around it, like it happened in the case of UPI. "Currently, there are 12 digital nodes involved in the digital system of UPI. CBDC will be much faster," adds Kumar. "CBDC could probably be the infrastructure that will solve the underwriting and credit issues [of digital payments] because of a transparent transaction record," says Abhinav Sinha, Co-founder, Eko, a financial solutions provider.

Experts say that the CBDC will provide a tool for the government to manage the economy. "When you issue a retail CBDC in India, by definition, what that means is that every individual will have a wallet with the RBI," says Fulzele. This means it will be possible to know how and where people are using the currency. "As the risk of intermediaries and their reconciliation process is minimal [on blockchain], the associated risk of settlement goes away," adds Sam. And reduced cash and chain tracking will result in more money being available for the economy, says Vinshu Gupta, Founder and Director of Nonceblox, a blockchain firm.

THE LAUNCH of a CBDC will involve significant investment, technology and a huge amount of focus, say experts. "I don't think the RBI would want to own all of these pieces... they would work with mul-

WHENEVER THE GOVERNMENT INITIATES INNOVATION AT A FUNDAMENTAL LEVEL, AN ENTIRE ECOSYSTEM DEVELOPS AROUND IT

tiple consortiums of technology providers," says a banker. "There will be a huge amount of integration, a huge amount of surround capabilities, which will have to fall in place. The payment service providers will have to be enabled," adds Harish Prasad, Head of Banking-India, FIS, a fintech solutions provider. According to Sam, the RBI will need partners "to create a CBDC system, manage it and continuously evolve, because there will be a lot of use cases".

Nonceblox's Gupta says India could learn from the experience of the Bahamas, which launched the world's first CBDC two years ago. The RBI has said that it is necessary to adopt basic models initially for the CBDC and test them comprehensively so that it has minimal impact on monetary policy and the banking system. "This is necessary because of the CBDC's dynamic impact on macro-economic policymaking," it said in its 'Report on Trend and Progress of Banking in India 2020-21'. "Most of the fintech players and banks will have to upgrade their systems to some degree to accommodate digital currency. Today, if you look at it fundamentally, banks and a lot of fintechs don't work on blockchain," says Eko's Sinha. "The entire

technology stack has to change to process currency transactions on a blockchain network. CBDC will fundamentally change most of the payments systems that are running in the country now," says Fulzele.

Unlike in the West where corporates borrow funds in the bond market, the Indian credit system is dominated by banks. Under the CBDC regime, there is a possibility of bank deposits shifting to the RBI. "Any shift in deposits may impact the banks' ability to dole out credit," says Madan Sabnavis, Chief Economist at Bank of Baroda. "The RBI might choose to transfer some or all of these back to banks, using appropriate rules of allocation, including auctioning the funds," says Axis Bank's Bhattacharya. While CBDC will be aimed at reducing cash in the system, it is easier said than done. "Despite demonetisation and digital banking, the cash in the system is back," says Sabnavis.

While more details about CBDC are yet to emerge, one thing is clear: a wide cross-section of the population is waiting with bated breath for India's crypto. **BT**

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